

Interim valuations

There is a distinction between interim valuations and final account valuations.

Courts have acknowledged that interim valuations will inevitably have a margin of error either way and in *Secretary of State for Transport v Birse-Farr Joint Venture* it was held the purpose of an interim valuation

?... is not to produce a final determination of the remuneration to which the contractor is entitled but is to provide a fair system of monthly progress payments to be made to the contractor.?

For this reason, valuations in interim payments are not usually binding on subsequent valuations (see [Beaufort Developments \(NI\) Ltd v Gilbert-Ash \(NI\) Ltd \[1999\]](#)). Therefore, it is usually permissible to correct an over valuation of an item in a subsequent valuation.

In some contracts such as the NEC3 or, in certain circumstances, the JCT contracts the value and effect of changes is finally determined as the project proceeds. These values are binding on the parties and cannot be re-visited.

Contractor's entitlement to interest for under valuation

Generally, standard forms of contract do not provide the contractor with a contractual right to recover interest for under valuation. Interest provisions in the standard forms are generally restricted to late payment against certificates, rather than under valuation in the certificates themselves. Therefore, interest for such under valuation cannot be considered as a payment due under the contract.

With the statutory right of adjudication available to correct any alleged under valuation, contractors' claims for such interest should be very limited (see *Lubenham v South Pembrokeshire DC* [1986]).

Issuing the certificate

Only the person authorised by the contract to do so may issue interim certificates. Special attention must be paid to this point during periods of absence, or if the appointment of the authorised person is terminated by the employer.

Pay-when-paid clauses

Under [section 113 of the Construction Act as amended by Local Democracy, Economic Development and Construction Act 2009](#) , the provisions that make payment under a construction contract conditional on the payer receiving payment from a third party are ineffective unless that third person is insolvent (i.e. in the case of 'upstream' insolvency). This means, for example, that a main contractor cannot agree to pay its subcontractor only when the main contractor has received payment from its employer, as such a provision will be ineffective, unless the employer is insolvent.

'Pay when certified' are made ineffective except for management contracting and PFI subcontracts

Under the amended Construction Act, clauses that make payment conditional on the performance of non-payment obligations under another contract or decisions by any person as to whether obligations under that other contract have been performed are not an 'adequate mechanism' for construction contracts. Therefore, such provisions would be ineffective. There are two important exceptions:

1. management contracts between the employer and the management contractor or
2. design and construct subcontracts entered into under a PFI project agreement ? these are excluded by the Exclusion Order (see [The Construction Contracts \(England\) Exclusion Order 2011](#)).

This means design and construct subcontracts with a special purpose vehicle ('SPV') that has subcontracted the construction element of obligations it has assumed to deliver as a public service can contain provisions that make payment to the design and construct subcontractor conditional on certification under the PFI project agreement. The Exclusion Order plugs an important gap in the current PFI structuring by making equivalent project relief provisions that link downstream payments to payment under the PFI project agreement effective as far as design and construct subcontractor is concerned.

This does mean that while payments to design and construct subcontractors may be dependent on payments certified under the PFI project agreement, payments from design and construct subcontractors to their sub-subcontractors will continue to be subject to the general prohibition on 'pay when certified' clauses (and of course all 'pay-when-paid' causes will continue to be ineffective under section 113).

Vesting of materials and retention of title

Ownership of valuable materials, particularly those stored off-site, becomes a hotly contested issue in the event of insolvency. The employer will often have paid for the materials and will therefore be seeking title; the receiver (or other appointed insolvency practitioner) and the supplier may also have claims.

The general rule is that title to goods, under a contract only for their supply, will pass upon their delivery, regardless of whether or not they have been paid for (see the [Sale of Goods Act 1979](#)). However, this general rule can be modified by the terms of the supply contract (and often is). Such amendments often provide that title does not pass until payment is received, regardless of delivery. These types of clauses are often referred to as 'retention of title' clauses.

Title to goods supplied under a subcontract for supply and fit will depend entirely upon the terms of the relevant contract. There are no statutory implied terms regarding transfer of title in such cases.

There is a lot of case law and a fair amount of legislation surrounding retention of title clauses. The basic principles are that subject to the following, retention of title clauses are valid to deprive the client of title, even though the client may have paid a third party (the insolvent contractor) for the goods (see *Aluminium Industrie Vaassen v Romalpa Aluminium* [1976]). In other words the seller cannot pass on better title than they actually possess:

- under contracts for the supply of goods (not generally including construction contracts, which are usually contracts for the supply of goods and services), a seller in possession of goods with the consent of the owner may pass good title to those

- goods, despite the existence of a retention of title clause (see the [Sale of Goods Act 1979](#))
- a right to goods will be lost where those goods have been irretrievably mixed or incorporated into other goods, despite the existence of a retention of title clause. For this reason, it was found that a retention of title clause over resin used in the manufacture of chipboard was ineffective (*Borden (UK) v Scottish Timber* [1981]), but a retention of title clause over an engine that had been bolted to a concrete slab was still effective, as the engine could be unbolted (*Hendy Lennox v Grahame Puttick* [1984])
 - depending on the terms of the retention of title clause, it may have effect as a floating charge over the property. If this is the case, then in respect of limited companies, that charge needs to be registered at Companies House if it is to have effect as against third parties.

Special care is required to check that the contractor has good title to goods when including the value of unfixed materials in interim payments, especially where those goods are of high value. Simply asking the contractor will not be sufficient ? and neither will asking their subcontractor. To be sure of the good transfer of title, it will be necessary to check down the supply chain until a contract for the supply of goods is identified, or a manufacturing process irretrievably incorporating or mixing the goods is found. The proper transfer of title should then be traced from this point up.

Particular caution is required when making payment for materials from abroad that have not yet been delivered into England. The insolvency laws of other legal jurisdictions are different to those of England, and generally override any contractual provisions.

Where there are concerns, payment for materials stored outside the jurisdiction of the English courts should only be made against an on-demand bond given by a reputable bank with a presence in England. The JCT bond provides for payment on-demand on the basis that it is conclusive evidence of the amount due where amounts have been stated in interim payments in respect of items listed before their delivery to site, and they are insured by the contractor to their full value. The bond expires on the delivery of the goods or materials to the site or adjacent to the works.

Another common method of securing off-site materials (although considered to be less reliable than an off-site materials and goods bond) is a vesting certificate. Typically these provide:

- confirmation that the goods stored off-site vest in the purchaser
- that the goods will be insured to their full value for the benefit of the purchaser and
- that they are stored separately and marked to identify ownership.

A common view is that vesting certificates amount to nothing more than promises which, in the case of insolvency, may not be enforceable. Where the goods or materials are being stored outside England and Wales only an on-demand off-materials and goods bond should generally be acceptable.

Materials on site

The impact of COVID-19 and Brexit has lead to uncertainty in relation to material availability and supply within some areas. In such circumstances, contractors may purchase material and deliver to site earlier than they would generally be required, and seek payment in the next valuation.

It should be ascertained if the actions by the contractor are reasonable and in line with market conditions at the time.

Interim payments after practical completion

When interim payments are due post-practical completion, refer to the contract conditions. Under the JCT 2016 suite of contracts, the contract conditions state that valuations will continue on a monthly basis. Notwithstanding this, the contract conditions give the parties the option to agree alternative time periods for interim payments on and after practical completion.

The last due date is either the date of:

- expiry of the rectification period or (if later) or
- issue of the certificate of making good.

Impact of COVID-19

Unless specifically amended, the contract does not alter the requirements for interim valuations due to any issues around COVID-19. When going to site visit to undertake a valuation any restrictions or requirements should be understood prior to the visit.

The contractual timescales for issue of certificates still apply so ensure that support is in place to deal with any COVID-19 related absences.